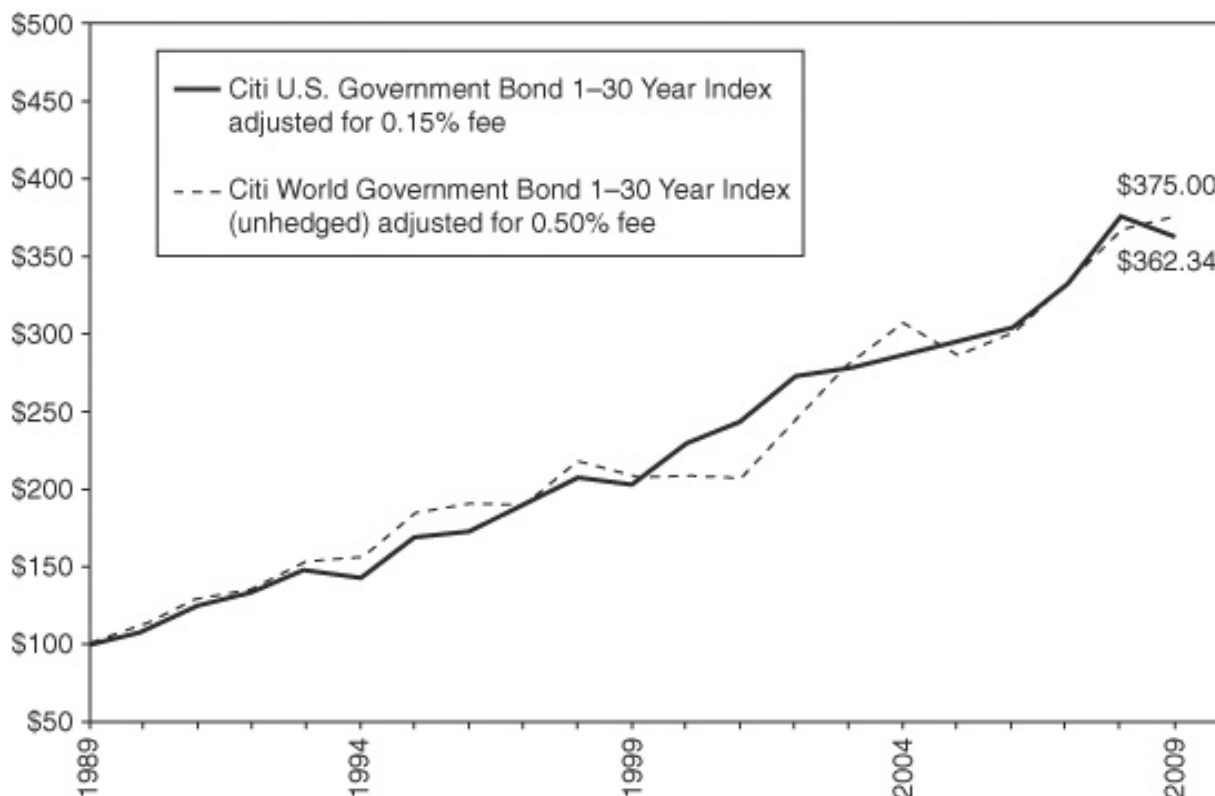


environment of some emerging markets can change rapidly and unpredictably.

FIGURE 8-10

Hypothetical Return of U.S. Government Bond Fund to an Unhedged Global Government Bond Fund



Like developed market debt, the stumbling block with emerging market debt is also the cost to gain exposure. Emerging market debt funds charge 1.0 percent per year in fees on average, according to the Morningstar Principia database. That is more than double the cost of any bond fund that I would invest in. There are a couple of international bond ETFs listed at the end of this chapter that have lower fees, but once again, I believe that the cost associated with foreign bond funds in general makes them unattractive.

TAX-EXEMPT MUNICIPAL BONDS

Thus far, we have discussed only taxable bonds. Depending on the type of portfolio you are creating and your income tax bracket, tax-exempt